AFRICA CENTRE OF EXCELLENCE FOR SUSTAINABLE POWER AND ENERGY DEVELOPMENT (ACE-SPED) UNIVERSITY OF NIGERIA, NSUKKA (UNN)

MANAGEMENT LETTER ON THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER, 2024

Agochukwu Okpalaoka & Co.
Chartered Accountants

AFRICA CENTRE OF EXECELLENCE FOR SUSTAINABLE POWER AND ENERGY DEVELOPMENT UNIVERSITY OF NIGERIA, NSUKKA

MANAGEMENT LETTER ON THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER, 2024

CONTENTS **PAGE**

1.0	EXECUTIVE SUMMARY	2
2.0	INTERNAL CONTROL STRUCTURE	2
3.0	DOUBLE PAYMENTS FROM OPERATIONAL ACCOUNT	3
4.0	ISSUES IN CASH BOOK AND BANK STATEMENTS	4
5.0	UNAUTHORISED/UNEXPLAINABLE PAYMENTS FROM DOMICILIARY ACCOUNT	5
6.0	REVIEW OF NUC SCHEDULE	6
7.0	CONCLUSION	8

2 Ogufere Streeet
(Behind UBA Plc, Okpara Avenue), G.R.A
P. O. Box 278, Enugu.
Tel: 08075190686.
Fax: 042-257265
E-mail: info@agonigeria.com
Website: www.agonigeria.com

AGO **AGOCHUKWU OKPALAOKA & CO.**
Chartered Accountants

24 January, 2025

The Centre Leader/Director
Africa Centre of Excellence for Sustainable Power and Energy Development (ACE-SPED)
University of Nigeria Nsukka, Enugu State.

Dear Sir,

MANAGEMENT LETTER ON THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER, 2024

We have concluded the audit of the Financial Statements of the **AFRICA CENTRE OF EXCELLENCE FOR SUSTAINABLE POWER AND ENERGY DEVELOPMENT** for the year ended 31 December, 2024. As part of the audit, we examined the internal control system, which the management instituted to safeguard the assets of the centre and to secure, as far as possible, the accuracy and reliability of its records.

We now set out below the weaknesses which came to light during the audit exercise together with our recommendations for improvement.

Please note that the comments which were included in this report refer only to those matters which came to our attention during the course of our normal audit work and do not attempt to indicate all possible weaknesses that may exist in the system as these can only be highlighted by a formal investigation.

We shall be ready to offer further explanations on any part of this report if requested to do so. Please you should endeavour to intimate us any time changes are made in your existing Internal Control System.

We wish to use this medium to commend the Financial Management Coordinator, the Centre Leader/Director and the Centre Management Team for the co-operation we received during the audit and for the opportunity offered to us to serve in this capacity.

Yours faithfully,

AGOCHUKWU OKPALAOKA & CO.
(CHARTERED ACCOUNTANTS)

PARTNERS: **E. A. Okpalaoka** FCA, ACTI, MBA **C. C. Nwuya** FCA, FCTI, MBA
OTHER OFFICES: LAGOS: Eleganza Plaza, 63 Asa Afariogun Street, Ajao Estate, P.O. Box 4031 Festac Town Tel: 08075190690
ONITSHA: 40/42 New Cemetery Road, P. O. Box 5534 " 08075190781
P/HARCOURT: 286 Aba Road (Rumukwurushi Junction) P. O. Box 8713 " 084 612921

1.0 EXECUTIVE SUMMARY

We have completed the audit of the Financial Statements of the Centre of Excellence for Sustainable Power and Energy Development for the year ended 31 December, 2024. In carrying out our audit, we reviewed the existing accounting and internal control process so as to guide us in expressing an opinion as to the true and fair view of information contained in the financial statements.

Please note that it is the responsibility of Centre Management to set up and maintain Internal Control Structure of the Centre and it is our responsibility to review all the accounting and internal control structure with a view to identifying areas of weaknesses and to make our recommendations for improvement.

2.0 INTERNAL CONTROL STRUCTURE

We reviewed the Centre's Internal Control Structure with particular reference to the Centre Management's responsibilities for and the objectives, and limitations of the Internal Control structure.

2.1 Centre Management's Responsibilities

The Centre Management are responsible for establishing and maintaining the internal control structure. In fulfilling this responsibility, estimates and judgments by Management are required to assess the expected benefits and related costs of internal control policies and objectives.

2.2 Objectives

The objectives of an internal control structure are to provide management with reasonable but not absolute assurance that assets are safeguarded against loss from unauthorized use or disposition and that transactions are executed in accordance with management's authorization and recorded properly to permit the preparation of the financial statements.

2.3 Limitations

Because of inherent limitations in any internal control structure, errors or irregularities may occur and not detected. Also, projection of any evaluation of the structure for future periods is subject to the risk that procedures may become inadequate because of changes in conditions or that the effectiveness of the design and operation of policies and procedures may deteriorate. The major limitations are:

- ⇨ Controls usually provide reasonable rather than absolute assurance that their objectives will be accomplished. This is primarily because the cost of an internal control should not exceed the benefits expected to be derived from it.

- The effectiveness of the controls is ultimately dependent on the people performing them.
- Any control designed to ensure the execution and recording of transactions may be ineffective against errors or irregularities perpetrated by management. Because of their authority to establish controls, management can normally override them.
- Procedures may become inadequate due to changes in conditions, and compliance procedures may deteriorate.

3.0 DOUBLE PAYMENTS FROM OPERATIONAL ACCOUNT

3.1 Observations/Comments

- During the audit, we observed that the under-listed persons were paid twice for the same transactions. However, this individuals never made any effort to refund the over-payment back to the centre's account.

Name of Staff	Amount ₦	Nature of Transactions	Date of Payments	
			1st	2nd
Omeje Chukwuemeka	1,160,190	Payment for participating in the training course of Amazon web service @ Kigali Rwanda from 12-24 Feb 2024	26/01/2024	29/01/2024
Nwaigbo John Cherechi	500,000	Payment for ACE-SPED 50% seed grant	17//06/2024	18/06/2024
Ejiogu Chinedozi Emenike	154,600	Refund of out of pocket expenses for fueling of ACE-SPED official vehicle.	16/09/2024	06/09/2024

3.2 Implications

- Evidence that the internal control units/functions are either weak or not functional.
- Fraud might exist in the system and can equally go undictated.
- Inadequate supervision.
- Indications/Possibility that payments can be made without vetting or adequate authorization.

3.3 **Recommendations**

- Internal control system should be strengthened.
- Proper authorization/vetting should be carried out before payments are made especially on the declined payments.

3.4 **Management's Comment(s)**

We acknowledge the error and regret the double payments made to the staff members. The issue arose from a technical glitch with our payment gateway (REMITA), which generated duplicate batches for single transactions, resulting in excess payments. We detected the anomaly during our monthly reconciliation and have since initiated a recovery process to retrieve the excess payments. We are pleased to report that the REMITA issue has been resolved, and we have not experienced any recurrence of this issue. We will continue to monitor our payment processes to ensure the accuracy and integrity of our transactions.

4.0 ISSUES IN CASH BOOK AND BANK STATEMENTS

4.1 **Observations/Comments**

Our review of the cash book and bank statement of the Centre shows the following anomalies:-

- No bank statement was provided for the National Universities Commission Account. However, a schedule was provided in place of bank statement with a negative closing balance of (₦815,729,727.11) or ($531,102.74).
- Huge exchange rate gap between the schedule of National Universities Commission's Dollar account provided and the CBN exchange rate at the dates transactions occur.

4.2 **Implications**

- Audit tests on the safety and existence of bank balances were inconclusive when statements are not fully provided.
- Lack of uniformity in exchange rates leads to distortion in the account.
- Inadequate supervision
- Weak internal control system.

4.3 **Recommendations**

- Internal control system should be strengthened.
- There should be uniformity in exchange rate on both inflow and outflow.
- There is need to obtain bank statements at least on monthly basis.

4.4 **Management's Comment(s)**

We will ensure that all payments are properly authorized and documented, and that our exchange rates are uniform.

5.0 **UNAUTHORISED/UNEXPLAINABLE PAYMENTS FROM DOMICILIARY ACCOUNT**

5.1 **Observations/Comments**

The audit observed that the unauthorized payment of $7,500 or N5,753,800.50, which was deducted from their domiciliary account last year from an unknown source are yet to be treated or reversed by the Central Bank of Nigeria (CBN) as listed below:-

DATE	RECEPIENT	PURPOSE	DOLLAR VALUE	NAIRA VALUE
16/10/23	Association of African University	Subscription	6,000.00	4,589,556.00
14/11/23	World Health Organization	Research & Dev	1,500.00	1,164,244.50
TOTAL			**7,500.00**	**5,753,800.50**

From verbal testimonial last year, it was revealed that the payments was not initiated, originated or authorized by the Centre Management. However, correspondences which has been sent to the Central Bank of Nigeria (CBN) are yet to be given the desired attention.

5.2 **Implications**

- Difference in the Closing Balance of Cashbook and Bank Statements.
- Internal Control system of the Centre proves very weak, when serious financial issues are not resolved promptly.
- The aim which reconciliation purposes serves is defeated.

5.3 **Recommendations**

- Management should immediately follow up the matter to a conclusive end without further delay.
- Internal check/audit should be strengthened.

5.4 **Management's Comment(s)**

We have made significant progress since the 2023 audit on this matter. The Central Bank of Nigeria (CBN) has acknowledged their error, which led to unauthorized payments from our domiciliary account.
Upon investigation, it was discovered that the mandate originated from the Bursary Department of the University of Nigeria, but was incorrectly charged against the ACE-SPED project account, despite different mandate signatories.

We are currently working with the CBN to effect a reversal of these payments and ensure that the proper domiciliary account of the University of Nigeria is charged accordingly.

6.0 **REVIEW OF NUC SCHEDULE**

6.1 **Observations/Comments**

- Our review of the NUC schedule provided for the audit revealed that there were changes in the schedule when compared with the 2022 and 2023 schedules provided for auditors for those years. From the year 2024 schedule, it shows that the following under-listed payments were done retrospectively after the audit have been concluded:-

Date	Conversion Rate	Amount In Naira	Disbursement in Dollar	Purpose
27/02/2023	451.78	701,862.82	1,553.55	Being payment for 7.5 VAT for science direct and scopus subscription.
27/02/2023	451.78	1,203,541.92	2,664	Payment for EUBCE conference registration.
21/02/2023	451.78	361,424.00	800	European Biomass Conference registration fee.
16/09/2023	730	7,592,000.00	10,400	Galilee International Management Institute and Trade Training Policy Centre in Africa (TRAPCA)
16/09/2023	730	4,161,000.00	5,700	Trade Training Policy Centre

				in Africa (TRAPCA)
27/09/2023	730	22,195,650.00	30,405	QAA Accreditation
TOTAL		**36,215,478.74**	**51,522.55**	

- It was also observed that the NUC account has a negative balance to the tune of **N815,729,727.11 or $531,102.74** excluding the re-introduced payments that has not been substantiated by the Centre.
- Huge exchange rate gap between the schedule of National Universities Commission Account and the subsisting rate of Central Bank of Nigeria rate.
- Non-existence of bank statement for the National Universities Commission Account.

6.2 **Implications**

- Audit test on the existence and reliability of the NUC schedule is inconclusive.
- Lack of uniformity in exchange rates, which leads to distortion in the account.
- Back dating of payments after the close of account and audit calls for serious concern.
- Inadequate check and balances.

6.3 **Recommendation**

- Management should address all the grey arrears mentioned in the NUC schedule.

6.4 **Management's Comment(s)**

We acknowledge the discrepancies found in the NUC schedule and are taking steps to reconcile the schedule with the NUC, with a view to rectifying the situation. We will ensure that all payments are properly authorized and documented, and that our exchange rates are uniform.

7.0 CONCLUSION

We shall be ready to offer further explanations on any part of this report if requested to do so. Please you should endeavour to intimate us any time changes are made in your existing Internal Control System.

We express our profound gratitude to the staff of the Centre for their co-operation and understanding during the conduct of the audit and to the Centre Management for the opportunity offered us to serve the Centre.

Yours faithfully,

AGOCHUKWU OKPALAOKA & CO.
(CHARTERED ACCOUNTANTS)